

Chapter 7

Too Much Management, Not Enough Leadership

It has been observed that most of our larger corporations are overmanaged but underled. I believe that's accurate, not only with respect to our nation's businesses, but to our financial institutions as well. Of course every group, every organization, and every nation requires a healthy cadre of both managers and leaders. Each role is essential. But each role is different, and recognizing the difference is equally essential. Hear management guru Warren Bennis on this point:

There is a profound difference between management and leadership, and both are important. To manage means to bring about, to accomplish, to have charge of or responsibility for, to conduct. Leading is influencing, guiding in a direction, course, action, opinion. The distinction is crucial.

Bennis lays out a number of critical distinctions between the two:

- *The manager administers; the leader innovates.*
- *The manager is a copy; the leader is an original.*
- *The manager focuses on systems and structure; the leader focuses on people.*
- *The manager relies on control; the leader inspires trust.*
- *The manager has a short-range view; the leader has a long-range perspective.*
- *The manager has his or her eye always on the bottom line; the leader has his or her eye on the horizon.*
- *The manager imitates; the leader originates.*
- *The manager accepts the status quo; the leader challenges it.*

Professor Bennis ends his litany with this clear summation: "The manager does things right; the leader does the right thing."